Skills

Advanced Reporting and Performance



AAPQs

2026

Module Mapping

The below table 1 shows modules covered by each Additional Assessment Practice Question. There will often be multiple modules addressed in each question, so in order to assist you with knowing when you can attempt each question, please see the table 2.

Table 1:

Section	Question	Sub-question	Module	Topic	Marks
S1	Q1	1	4	Revenue	12
S1	Q1	2	5	Financial instruments	15
S1	Q1	3	3	Taxation	8
S1	Q1	4	1	SPLOCI	5
S1	Q1	5	1	Distributable profits	8
S1	Q2	6	2	Inventories	6
S1	Q2	7	5	Loans	14
S1	Q2	8	2	Impairment CGUs	19
S1	Q2	9	5	Share repurchase	5
S1	Q2	10	1	SOFP extracts	6
S1	Q3	11	2	Impairment	16
S1	Q3	12	4	Share-based payments	6
S1	Q3	13	2	Intangible assets	10
S1	Q3	14	1	Related parties	10
S1	Q3	15	1	Directors' remuneration	8
S1	Q4	16	3	Provisions	10
S1	Q4	17	2	Properties	20
S1	Q4	18	1	SPLOCI	7
S1	Q4	19	9	Strategic Report	9
S1	Q5	20	2	Properties	11
S1	Q5	21	5	Financial assets	15
S1	Q5	22	1	SPLOCI	6
S1	Q5	23	1	Distributable profits	4
S1	Q5	24	1	EPS	8
S2	Q1	25	3	Leases	10
S2	Q1	26	6	Consolidation - Subsidiary and Associate	23
S2	Q1	27	6	Consolidated SOFP	6
S2	Q1	28	6	Proposed investment	7
S2	Q2	29	4	Share-based payments	8
S2	Q2	30	6	Consolidation - Associate	12
S2	Q2	31	6	Consolidation - Subsidiary	15
S2	Q2	32	1	Related parties	6
S2	Q2	33	9	Ethics	6
S2	Q3	34	6	Consolidation - Subsidiary	13
S2	Q3	35	6	Foreign Subsidiary	14
S2	Q3	36	6	Consolidated SPLOCI	6
S2	Q3	37	1	EPS	11
S2	Q4	38	6	Consolidation - Subsidiary	10
S2	Q4	39	6	Consolidation - Associate	14
S2	Q4	40	6	Disposal of subsidiary	7
S2	Q4	41	7	Disposal of subsidiary	6
S2	Q5	42	6	Advise on consideration	10
S2	Q5	43	6	Consolidation - Subsidiary	14
S2	Q5	44	6	Consolidated SPLOCI	6
S2	Q5	45	6	Disclosure for JV	4
S2	Q5	46	9	Ethics	7
S3	Q1	47	2	Impairment	8
S3	Q1	48	8	IFRS S2	6
S3	Q1	49	9	Importance of consistency	5
S3	Q2	50	8	IFRS / GRI comparison	6
S3	Q2	51	8	GRI 401 extract	5

Section	Question	Sub-question	Module	Topic	Marks
S3	Q2	52	8	Improvements to disclosure	4
S3	Q3	53	9	Greenwashing	7
S3	Q3	54	8	SASB Standards	7
S3	Q4	55	8	GRI Standards	4
S3	Q4	56	1	EPS	4
S3	Q4	57	8	Governance	6
S3	Q4	58	8	Materiality Matrix	5
S3	Q5	59	9	Integrated Reporting	4
S3	Q5	60	9	Ethics	4
S3	Q5	61	8	IFRS S2	11

The following questions can be attempted once the following modules has been completed:

Table 2:

Question	Company name	Can be attempted after completing modules:
Section 1		
Question 1	SungLung plc	1, 3, 4 and 5
Question 2	Calico, Tabby, and Tortie plc	1, 2 and 5
Question 3	Conrad plc	1, 2 and 4
Question 4	Green Agri plc	1, 2, 3 and 9
Question 5	Lucasta plc	1, 2 and 5
Section 2		
Question 1	Dallas Group	1, 3, 5 and 6
Question 2	Blink Nashville plc	1, 4, 6 and 9
Question 3	Baffin Arctic Ltd	1, 4 and 6
Question 4	Sestina plc	1, 6 and 7
Question 5	Ovek plc	1, 6 and 9
Section 3		
Question 1	Lanercost Ltd	1, 2, 8 and 9
Question 2	Finchdale plc	1, 8 and 9
Question 3	Hylton Ltd	1, 8 and 9
Question 4	Brinkburn Ltd	1, 8 and 9
Question 5	Lion plc	1, 8 and 9

SECTION 1

SECTION 1: Question 1

SungLung plc

You are the recently appointed financial controller of SungLung plc ('SL'), a UK-based listed manufacturing company. You are preparing the financial statements for the year ended 30 April 2025, in accordance with IFRS Accounting Standards.

Before you can construct the SPLOCI, you must complete your work on revenue and intangible assets, details of which are in Appendices 1 and 2 respectively.

You also must finalise the accounting for corporation tax, details of which are in Appendix 3.

Today, your main task is to construct the statement of profit or loss and other comprehensive income (SPLOCI). The draft SPLOCI for the year ended 30 April 2025 is provided in Appendix 4.

SL's directors plan to pay a dividend for the first time in 2025. They have asked, once you have constructed the SPLOCI, that you advise them of the amount of distributable profits so that they can discuss how much of a dividend to propose. Further information regarding distributable profits is in Appendix 4.

Questions:

1. Advise on the accounting treatment for the revenue matters in Appendix 1 for the year ended 30 April 2025 and prepare, showing all workings, any journal entries necessary.

   (12 marks)

2. Advise on the accounting treatment for the financial instruments in Appendix 2 for the year ended 30 April 2025 and prepare, showing all workings, any journal entries necessary.

   (15 marks)

3. Calculate the tax charge for the year ended 30 April 2025 using the information in Appendices 3 and 4 and prepare, showing all workings, any journal entries necessary.

   (8 marks)

4. Construct the statement of profit or loss and other comprehensive income of SL for the year ended 30 April 2025 using the information in Appendix 4 and taking account of any adjustments from Questions 1, 2 and 3.

   This question must be answered in the Excel spreadsheet provided.

   (5 marks)

5. Advise the directors of the amount of distributable profits as at 30 April 2025 using the information in Appendix 4 and taking into account your answers to Questions 1-4. You should show all workings.

   (8 marks)

Total (48 marks)

Notes:

All journal entries should be presented in £'000

SECTION 1: Question 1 APPENDIX 1

Outstanding revenue matters

Quill

During the year ended 30 April 2025, SL started acting as a distributor for items made by Quill Star Ltd (Quill). Under the agreement, Quill supplies the items to SL but does not invoice SL for them. Instead, when SL sells the items, it pays 90% of the proceeds to Quill, 14 days after the end of the relevant month.

Included in Revenue in Appendix 4 is £560,000 relating to the sale of items made by Quill during the year ended 30 April 2025. Included in Cost of sales is £414,000 relating to the payments made to Quill during the year. Sales of items made by Quill in April 2025, which are included in the £560,000 Revenue figure, totalled £100,000. SL paid the amount due to Quill in respect of these sales on 14 May 2025.

Beetle

In January 2025, Beetle Starshine Ltd ('Beetle') negotiated a one-off period of extended credit from SL on an order of goods. It was agreed that Blackbird will pay SL £168,000 on 31 January 2026. SL's incremental cost of borrowing is 7.7%. Revenue of £168,000 has been recognised in respect of this transaction and recorded as a receivable.

SECTION 1: Question 1 APPENDIX 2

Outstanding financial instrument matters

Jack and Rolf

During the year ended 30 April 2025, SL bought shares in two other listed companies, Jack Furnishings plc ('Jack') and Rolf Grant plc ('Rolf'). The purchases are less than 5% of each of the companies' share capital.

The investment in Jack has been classified as being measured at fair value through profit or loss. Any gains or losses on the fair value are recorded as 'remeasurement gain or loss on financial assets'.

The investment in Rolf has been classified as being measured at fair value through other comprehensive income. SL has no other investments.

Details of each purchase are as follows:

	Number of shares	Cost per share	Transaction costs
Jack	20,000	£5.00	£960
Rolf	16,000	£6.80	£1,080

Both investments have been measured correctly on initial recognition.

The fair value of the shares in each company as at 30 April 2025 have been obtained but not yet accounted for. The fair values are as follows:

	Fair value per share
Jack	£4.82
Rolf	£7.70

Convertible bonds

SL had in issue 500,000 £1 convertible bonds which were due for redemption or conversion on 30 April 2025. The balance on the convertible bonds account in the trial balance is £500,000 and the balance on the convertible bond reserve set up on issue of the bonds is £48,000. The interest expense on the bonds has been accounted for correctly.

The terms of conversion were one 10p ordinary share per one £1 bond. Holders of 80% of the bonds opted to convert and the rest were paid in cash on 30 April 2025. The only entry made in the accounting records has been to debit 'Bonds suspense account' with the cash paid out.

SECTION 1: Question 1 APPENDIX 3

Matters relating to taxation

1. The income tax expense included in the draft statement of profit or loss in Appendix 4 totalling £2,730,000 comprises the first two payments on account for the year ended 30 April 2025 of £1,355,000 each and £20,000 paid in respect of the year ended 30 April 2024 which was in addition to the amount provided in last year's financial statements.
2. SL's tax adviser has calculated that, based on the draft statement of profit or loss in Appendix 4, SL's total corporation tax charge for the year ended 30 April 2025 will be £5,700,000, of which £30,000 relates to items included in other comprehensive income.
3. Deferred tax has not been calculated for the property revaluation (see Appendix 4). The revaluation is the only temporary difference.

Any adjustments you make to profit for the year ended 30 April 2025 as a result of the information in Appendices 2 to 4 attract corporation tax at a rate of 25%.

SECTION 1: Question 1 APPENDIX 4

Draft SPLOCI

SungLung plc

Statement of profit or loss and other comprehensive income for the year ended 30 April 2025

	£'000
Revenue	70,936
Cost of sales	(19,774)
Gross profit	**51,162**
Other operating income	42
Operating expenses	(22,684)
Operating profit	**28,520**
Profit before financing and income taxes	**28,520**
Interest income	90
Interest expenses on borrowings	(742)
Profit before income taxes	**27,868**
Income tax expense	(2,700)
PROFIT	**25,168**
Other comprehensive income	
Income and expenses that will not be reclassified to profit or loss:	
Other comprehensive income	120
Gain on property revaluation	92
Taxation relating to items that will not be reclassified	(30)
Other comprehensive income	**182**
TOTAL COMPREHENSIVE INCOME	**25,350**

1. Distributable profits as at 30 April 2024 were £31,578,000. There were no unrealised losses at that date.
2. All items included in the draft profit for the year are realised.
3. SL revalued all its properties on 1 May 2024 which resulted in the revaluation gain shown above. This was the first revaluation undertaken for these properties. SL does not make annual transfers from the revaluation surplus to retained earnings. The excess depreciation charged to profit or loss as a result of the revaluation amounted to £4,000.
4. SL did not pay a dividend in the year ended 30 April 2025.

SECTION 1: Question 2

Calico, Tabby, and Tortie plc

You are the recently appointed financial controller of Calico, Tabby, and Tortie plc ('Calico'), a UK-based listed company. The main business activity of Calico is the manufacture of furniture and furnishings. You are preparing the financial statements for the year ended 30 June 2025, in accordance with IFRS Accounting Standards.

Before you finalised the statement of financial position, there are a number of areas to review:

- You need to complete the inventory valuation in respect of pillows. Relevant details are in Appendix 1.
- You have to complete the accounting for some financial instruments. Details of these are in Appendix 2. Calico has not opted to designate any debt instruments as being measured at fair value through profit or loss.
- You must account for the results of Calico's impairment reviews. Information about this is in Appendix 3.
- You need to account for a share buy-back. Details of this is in Appendix 4. The previous financial controller's working papers regarding the legality of the payments are missing, so you wish to check this for yourself.

The assets and equity extracts of the draft statement of financial position as at 30 June 2025 is in Appendix 5.

Questions:

6. Advise how the inventories matters in Appendix 1 should be accounted for in the year ended 30 June 2025 and prepare, showing all workings, any journal entries necessary.

(6 marks)

7. Advise how the loans in Appendix 2 should be accounted for in the year ended 30 June 2025 and prepare, showing all workings, any journal entries necessary.

(14marks)

8. Advise, showing all workings, whether the cash generating units in Appendix 3 are impaired, and prepare any journal entries necessary.

(19 marks)

9. Prepare, showing all workings and including advising on the legality of the payments, journal entries to account correctly for the share repurchase in Appendix 4.

(5 marks)

10. Construct, showing all workings, the statement of financial position assets and equity extracts for Calico for the year ended 30 June 2025, using the information in Appendix 5 and your answer to Questions 6 - 9.

    You must complete this using the Excel resource provided.

(6 marks)

Total: (50 marks)

Note:

Ignore the taxation impact of any adjustments

You should present all journal entries in £'000

SECTION 1: Question 2 Appendix 1

Inventories

Pillows

The inventory cost of pillows is measured using standard costs. Variances arising are accounted for monthly, with the standard costs for the following month being adjusted if necessary. The standard costs in June 2025 for a batch of 200 pillows were:

	£
Materials	380
Labour	175
Direct expenses	25
Production overheads	140
Standard Cost	720
Standard cost per unit	£3.60

In June, 100 batches of 200 pillows each were produced. At the year-end, 6,500 pillows were in inventory, valued using the June standard costs. Each pillow sells for £9. The following variances for June have been identified.

	£'000
Materials – increase in price of feathers (adverse)	8
Labour – more efficient working practices (favourable)	(3)
Batch 9 disaster – machine fault, some of batch over filled and bursting (adverse)	18

SECTION 1: Question 2 Appendix 2

Details of loans

Loan asset - Loan made to Tuxedo

On 1 July 2022, Calico made a loan of £100,000 to Tuxedo for four years. The terms of the loan are that Tuxedo is to pay interest at 4% per annum each year on 30 June each year and will repay the loan at a 6% premium on 30 June 2026. The effective rate of interest on the loan is approximately 5.5%. The carrying amount of the loan balance at 30 June 2024 was £103,000 and the loss allowance on this date was £8,000.

On 30 June 2025, Tuxedo informed Calico that it was experiencing cash flow problems and may be unable to make future interest payments. No payment was received on 30 June 2025, and the only further payment that is expected is the repayment of £100,000 on 30 June 2026.

The lifetime probability of default was estimated to be 70% at 1 July 2025.

There has been no adjustment to the carrying amount of the loan during the year ended 30 June 2025.

Loan liability - Bank loan

On 1 January 2025, Calico received a bank loan of £500,000 to finance the purchase of a new factory. Under the terms of the loan, Calico is to pay interest of

£10,000 every six months The effective half- yearly interest rate is approximately 3.1% as the bank loan will be repaid at a premium.

The interest payment made on 30 June 2025 has been debited to interest expenses on borrowings.

SECTION 1: Question 2 Appendix 3

Results of annual impairment review

General

The results of the annual impairment review indicate that the values of the machinery and fittings of one factory production unit and a small chain of shops may be impaired. None of the assets referred to in Appendices 2 and 3 has any connection with any of the possibly impaired assets.

The directors consider that a discount rate of 9% is appropriate for all three areas. Discount factors are:

Year 1 0.917
Year 2 0.842

Factory production unit machinery and fittings

The machinery and fittings are located in a factory that is leased and after recent machinery failures that have resulted in damaged finished goods, the directors have decided that Calico will stop manufacturing these product ranges when the factory lease expires in September 2025. It is not possible to calculate cash flows for each individual asset.

The carrying amount in respect of the individual assets, after depreciation for the year ended 30 June 2025 has been correctly calculated and accounted for, is £107,000. In addition, head office PPE with a net book value of £45,000 should be attributed to the factory production unit.

The estimated fair value of the factory production unit at 30 June 2025, is £175,000 and it would cost a further £20,000 for Calico to dispose of the assets. The value in use calculated for the factory production has been estimated to be £156,000.

Chain of shops

Several years ago, Calico bought a small chain of three local office furniture shops. In the autumn of 2024, a large retail park, including outlets of several national chains, opened in the area. The directors are concerned that this may have impaired the value of Calico's chain.

So far, you have calculated:

	Shop A £'000	**Shop B £'000**	**Shop C £'000**
Carrying amount of PPE at 31 June 2025	335	512	114
Fair value, after disposal costs, of PPE	297	516	203
Discounted future cash flows	312	508	99

In addition, head office PPE with a carrying amount of £89,000 should be attributed to the chain as a whole.

You also have to consider the brand name of the chain, 'Comfy Couches etc', and the goodwill arising on the purchase of the chain. Both of these are in 'Intangible assets' and cannot be allocated to the individual shops. As they have indefinite lives, they are held at cost and have been reviewed annually for impairment. There has been no previous impairment. It is not possible to calculate fair values or cash flows for them individually. The cost of the brand name is £50,000 and the cost of the purchased goodwill is £75,000.

The estimated recoverable amount of the chain as a whole is £1,061,000.

SECTION 1: Question 2 Appendix 4

Details of share repurchase

General

- Retained earnings as at 30 June 2024 was £6,807,000.
- Calico made Profit for the year of £2,764,000 which accrued evenly over the year. Dividends of £1,000,000 were paid on 15 October 2024 and dividends of
- £450,000 were paid on 15 March 2025.
- None of the journal entries you have already prepared today will affect your calculations regarding the legality of payments.

Share buy-back

- In January 2025, Calico offered a share buy-back as a means of returning cash to shareholders.
- Share capital in the Statement of Financial Position consists of 8,000,000 ordinary shares of 25 pence each. Share premium relates entirely to these shares.
- The holders of 1,000,000 shares took up the offer to buy their shares at £2.27 each. All these shares were cancelled and the cost debited to 'Share capital suspense'. The buy-back took place on 31 January 2025.

SECTION 1: Question 2 Appendix 5

Draft SOFP

Calico, Tabbie and Tortie plc

Statement of financial position as at 30 June 2025 (extracts)

	£'000
ASSETS	
Non-Current Assets	
Intangible assets	261
Property, plant and equipment	4,641
	4,902
Current assets	
Financial Assets	1,983
Inventories	2,405
Trade & Other receivables	3,450
Cash & Cash equivalents	1,971
	9,809
TOTAL ASSETS	**14,711**
Equity	
Share Capital	2,000
Share Premium	4,000
Revaluation Surplus	345
Share Capital Suspense	(2,270)
Retained Earnings	7,870
Total Equity	**11,945**

SECTION 1: Question 3

Conrad plc

You are the financial controller of a UK-based company, Conrad plc (Conrad). The main business activity of Conrad is the manufacture of food and drink. Conrad prepares financial statements in accordance with IFRS Accounting Standards and has a year end of 30 June 2025.

There are multiple areas requiring your attention including:

- The results of an impairment review in Appendix 1;
- Information about share-based payments in Appendix 2;
- Intangible assets in Appendix 3;
- Related party transactions in Appendix 4; and
- Director's remuneration disclosure based on information included in Appendix 5.

Questions:

11. Advise on accounting treatment for the impairment review in Appendix 1, for the year ended 30 June 2025 and prepare, showing all workings, any journal entries necessary.

(16 marks)

12. Prepare, showing all workings, any journal entries necessary for the share-based payments in Appendix 2 for the year ended 30 June 2025.

(6 marks)

13. Advise, showing all workings, how the intangible assets in Appendix 3 should be accounted for in the financial statements of Conrad for the year ended 30 June 2025.

(10 marks)

14. In relation to the related party transactions in Appendix 4:
    a) advise of any related parties to Conrad; and
    b) advise on the appropriate disclosure for inclusion in the financial statements for the year ended 30 June 2025.

(10 marks)

15. Construct the directors' remuneration note for inclusion in the financial statements for the year ended 30 June 2025 using the information in Appendix 5 and showing all workings.

(8 marks)

Total (50 marks)

Note:

All journal entries should be presented in £'000.

Ignore the taxation impact of any adjustments.

SECTION 1: Question 3

APPENDIX 1

Impairment review

In the year ended 30 June 2025, one of Conrad's competitors has recently been bought over by a large multi-national company. This has resulted in this competitor lowering its prices, which has had a direct impact on Conrad. An impairment review has been carried out, and the relevant information is detailed below.

Any impairment would be material to Conrad and would be presented separately in the statement of profit or loss.

Results of the annual impairment review

Conrad is split across two separate divisions: Sweets and Ready Meals, each of which is a separate cash generating unit. The non-current assets can be attributed to each division as follows:

	Sweets £'000	**Ready Meals £'000**
Property, plant & equipment ('PPE')	859	313
Intangible assets	65	125

Conrad has central PPE of £1,560,000 which can be split 55% / 45% between Sweets and Ready Meals respectively. It is expected that these assets could be sold at their carrying amount.

No adjustments are required to current assets and liabilities.

Sweets division

- The directors estimate that they could sell the Sweets division for £1,680,000. This includes an amount for its share of central assets. Costs associated with the sale would be approximately £65,000.
- The value in use for the Sweets division has been calculated to be £1,585,000.
- The fair value less costs of disposal has been estimated to be £1,615,000.
- All assets in this division have a net realisable value that exceeds their carrying amount.

Ready Meals division

- The intangible asset of this division relates to the cost of a patent acquired from a competitor several years ago. It is estimated that the patent has a net fair value of £115,000 but it is not possible to estimate the value in use for this patent.
- The directors estimate that the Ready Meals division, including the patent, could be sold for £1,100,000. This includes an amount for its share of central assets. Selling costs are estimated to be 12% of sales proceeds.
- The value in use of the Ready Meals division has been calculated to be £1,028,000.
- All tangible assets in this division have a net fair value that exceeds their carrying amount.

SECTION 1: Question 3 APPENDIX 2

Information relating to share-based payments

- Conrad operates an incentive scheme for employees. The scheme was introduced on 1 July 2023, when the company had 420 employees. Each employee was offered 50 share options. To be eligible, staff must remain employed by Conrad throughout the period to 30 June 2026. The scheme was accounted for correctly in the year ended 30 June 2024.
- As at 30 June 2024, 90% of applicable staff remained employed by the company. It was estimated at that point that 35 employees would leave the company in each of 2025 and 2026.
- As at 30 June 2025, a further 57 staff had left the company. It is now estimated that an additional 65 members of staff will leave in the year to 30 June 2026.
- The exercise price of the options is conditional on the average growth in profits of the business over the three-year period of the scheme. Profits had grown by 12% in 2024 and 8% in 2025. It is expected that the growth rate in 2025 will be 9%. At 30 June 2024 the estimated profit growth in 2025 and 2026 was 12% per annum.
- The fair values of the options were as follows:

Average growth	**Exercise price**	**Fair value of options on grant date**
	£	*£/share*
Nil to 4.9%	4.00	2.15
5.0 to 9.9%	3.60	2.20
10.0 to 15.0%	3.00	2.50

- It is the policy of Conrad to account for equity-settled share-based payments using retained earnings.

SECTION 1: Question 3 APPENDIX 3

Intangible assets

Research and development

Conrad started research into a new vegan meat substitute to be used in a range of their luxury ready meal products during the year ended 30 June 2024. £146,000 of costs were incurred during the year ended 30 June 2024 and recorded as operating expenses.

Between July 2024 and February 2025 further costs of £127,000 were incurred and also included in operating expenses.

In March 2025, following positive viability results, several potential customers expressed their intention to stock the new vegan range, once it had been refined and was ready for sale.

Conrad made the necessary refinements in April 2025 at a cost of £92,000, recorded as operating expenses.

The product was available for sale from 1 May 2025 and the first sale was made on that date. Conrad has estimated that this new vegan product has a useful life of four years.

Patent

Conrad owns a patented recipe which it purchased from a competitor on 1 July 2017 for £98,000 when it had an estimated useful life of ten years. It was recognised as an intangible asset on acquisition.

The carrying amount of the patent at 30 June 2024 was £29,400. There has been no change to the original estimated useful life and no adjustment has been made to the patent during the year ended 30 June 2025.

Brand

In June 2025, Conrad launched a new range of small luxury tapas style dishes, which will be marketed under the name Lite Bites. The directors feel that Lite Bites will be very successful, and the value of the brand name will be considerable. They therefore propose to recognise this as a brand with a value of £1,250,000 as at 30 June 2025.

SECTION 1: Question 3 APPENDIX 4

Related parties

Loan from Mr Budd

On 1 July 2024, the managing director of Conrad, Mr Budd, made a loan to Conrad of £500,000, which is repayable on 30 June 2029. The loan bears interest at 3% per annum, with interest payable annually on 30 June. The interest due on 30 June 2025 was paid on 2 July 2026. Both the loan and the interest have been accounted for correctly in Conrad's accounts.

Flowers

Mr Budd has a 60% share in Flowers Cleaning ('Flowers'), a partnership with his sister, Ms Blossom, who has the other 40% share. Flowers provides in- house catering for several clients, including Conrad. However, Mr Budd agreed a special rate for Conrad, which represents a 30% discount on Flower's normal rates. During the year ended 30 June 2025, Flowers invoiced Conrad a total of £28,000, all of which was paid before the year end.

SECTION 1: Question 3 APPENDIX 5

Directors' renumeration

1. During the year ended 30 June 2025, the directors of Conrad had the following remuneration:

	Salary	Fees	Bonuses	Benefits in kind	Pension contributions
	£	£	£	£	£
Mr Budd	125,000	10,000	25,000	12,000	15,000
Mr Season	105,000	15,000	35,000	9,000	12,000
Ms Tan	70,000	10,000	20,000	3,000	10,000
Mr Ottum	-	12,000	-	-	-
Mrs Winter	-	12,000	-	-	-
TOTAL	300,000	59,000	80,000	24,000	37,000

2. All remuneration was paid by Conrad, except as noted in point 3 below.
3. Mrs Winter received her fees from Snow Boarders plc, a fully owned subsidiary of Conrad. Mr Budd received his fees from Aprez Ski Holidays plc, which is 25% owned by Conrad.
4. Mr Budd, Mr Season and Ms Tan received £12,000 each as an annual bonus. The balance of the bonus figures relates to Conrad's long-term incentive scheme. All bonuses received were paid in cash.
5. Mr Budd is a member of Conrad's defined benefit pension scheme. Mr Season and Ms Tan are members of Conrad's defined contribution pension scheme.
6. Ms Tan retired in May 2025. When she retired, she kept her company car, which had a market value of £17,000 at the date of her retirement.
7. The highest paid director has been identified as Mr Season.

SECTION 1: Question 4

Green Agri plc

You are the recently appointed financial controller of Green Agri plc ('Green'), a medium-sized, UK-based company. The main business activity of Green is manufacturing of farm-related products. Green prepares financial statements in accordance with IFRS Accounting Standards.

There are outstanding matters relating to provisions and two properties which require your attention before the financial statements can be finalised. Information relating to provisions can be found in Appendix 1 and information relating to the properties is in Appendix 2.

Unfortunately, due to competition and cheap imports of Wellington boots, the decision was made to close this line of operation on 31 March 2025. Further details in relation to this closure are included within Appendix 3.

The directors have asked you to prepare the statement of profit or loss for the year ended 30 June 2025. A draft statement of profit or loss for the year ended 30 June 2025 is provided in Appendix 3.

Finally, the finance director has asked for your assistance in explaining whether Green needs to prepare a Strategic report and the purpose of the Strategic Report to the newly appointed managing director. He has provided draft wording for inclusion in the financial review section of the Strategic Report in Appendix 4 and has asked you to use this to illustrate the importance of consistency between the financial and non-financial information in the annual report.

Questions:

16. Advise on the accounting treatment for the provisions in Appendix 1 for the year ended 31 March 2025, and prepare, showing all workings, any journal entries necessary.

(10 marks)

17. Advise on the accounting treatment for the properties in Appendix 2 for the year ended 31 March 2025, and prepare, showing all workings, any journal entries necessary.

(20 marks)

18. Construct, showing all workings, the statement of profit or loss and comprehensive income for the year ended 30 June 2025, using the information in Appendix 3 and taking account of any adjustments in Questions 16 and 17.

    This question must be answered in the Excel spreadsheet provided.

(7 marks)

19.
    a) Advise whether Green needs to prepare a Strategic Report;
    b) advise on the purpose of the Strategic Report, and
    c) explain, using the draft extract provided in Appendix 4, the importance of consistency between financial and non-financial information in Green's annual report. You may wish to illustrate your answer using the information in Appendices 1 - 3.

(9 marks)

Total: (46 marks)

Note:

All journal entries should be presented in £'000.

Ignore the taxation impact of any adjustments.

SECTION 1: Question 4 APPENDIX 1

Provisions

Onerous contract

In November 2024, Green entered into a 24-month contract with a supplier to purchase 20 tonnes per month of specially modified aluminium at a cost of £1,600 per tonne. The aluminium was used in the manufacturing of a specific model of combine harvester and, due to the specific modification to the metal, it is only used by Green and has no resale value, but it does have a scrap value of £700 per tonne. The aluminium was received in November 2024, and in each month up to and including June 2025. All deliveries up to and including June 2025 have been paid for or are included in trade payables.

In June 2025, Green ceased manufacturing that particular model of combine harvester due to a general downturn in the market. Green required a further two months' supply of aluminium (July and August 2025) to complete the work in progress, but no further deliveries are required after this.

The aluminium supplier informed Green that cancelling the contract from September 2025 would incur a charge of £400,000, as per the terms of the contract.

Closure of production facility

At the shareholders' annual general meeting in November 2024, the board of directors will announce the relocation of one of the production sites to amalgamate it with an existing production site. The amalgamation will take place in early 2026. This will result in projected future annual cost savings of £165,000. The anticipated costs of the amalgamation are £247,000 for restructuring costs which includes £24,000 for breaking supplier contracts and £11,000 for relocating staff. In addition, £4,000 is expected to be spent improving the distribution network following amalgamation.

The detailed formal plan was approved by the board on 15 June 2025 and the plan has been communicated to the plant managers and employees affected.

SECTION 1: Question 4 Appendix 2

Properties

Warehouse

As a result of the reorganisation and closure of Wellington boots division, Green no longer required the warehouse where the Wellington boots were stored and decided to lease it out under an operating lease agreement to another business from 1 April 2025.

The warehouse was purchased 20 years ago and was measured under the revaluation model. The warehouse was last revalued on 1 July 2024 to £1,250,000. The warehouse had a fair value of £1,295,000 at 1 April 2025 and £1,310,000 at 30 June 2025. No accounting entries have been made in relation to the warehouse, other than to record depreciation of £41,667 for the year to 30 June 2025.

The accounting policy of Green is to measure investment properties under the fair value model.

Office Building

On 1 July 2024, the building had a fair value of £950,000. The building was purchased seven years prior to this date and continues to be used. The building had an original useful life of 50 years and is depreciated pro-rata on the straight-line basis.

Prior to the revaluation on 1 July 2024, the building was held at carrying amount of

£516,000. No accounting has taken place for the fair value at 30 June 2025. Depreciation of £12,000 was calculated and recognised for the year to 30 June 2025 based on the original cost and useful life of the asset.

Green does not make annual transfers from the revaluation surplus to retained earnings.

SECTION 1: Question 4 Appendix 4

Draft SPL

Closure of Wellington boots division

For many years, Green manufactured Wellington boots, which was a major line of operation for Green. However, due to cheap imports of Wellington boots to the UK, the decision was made to close this line of business on 31 March 2025.

Green Agri plc

Draft statement of profit or loss for the year ended 30 June 2025

	Draft
	£'000
Revenue	3,564
Cost of sales	(1,180)
Gross profit	**2,384**
General and administrative expenses	(1,288)
Operating profit	**1,096**
Gain on remeasurement of investment property	
Profit before financing and income taxes	**1,096**
Interest expenses on borrowings and lease liabilities	(20)
Profit before income tax expense	**1,076**
Income tax expenses	(142)
Profit from continuing operations	**934**
Profit from discontinued operations	(94)
PROFIT	**840**

SECTION 1: Question 4 Appendix 4

Extract from the Strategic Report

Financial review

Company revenue was £4,614,000, which is an increase of 8% on the prior year. This contributed to a profit for the period of £25,000 which is an increase of 6% on the prior year.

The company is experiencing a period of modest growth, largely due to demand for our tractors and combine harvesters which are more energy efficient than other comparable models available on the market.

There will be a decrease in costs as a result of the relocation of a production facility which is due to commence in early 2026.

SECTION 1: Question 5

Lucasta Plc

You are the financial accountant of Lucasta plc (Lucasta), a UK-based company which prepares its financial statements in accordance with IFRS Accounting Standards. The main business activity of Lucastra does not include investing in assets or providing financing.

Due to changing work practices, Lucasta moved out of its head office property in Sheffield on 1 October 2024. The property was immediately rented out to a third party under an operating lease agreement, but this change in use has not been accounted for. Details regarding the property are provided in Appendix 1.

Lucasta has several financial instruments. You have still to account for two financial assets for the year ended 31 March 2025. Details of the financial assets are provided in Appendix 2.

Once you have accounted for the items in Appendices 1 and 2, you have to construct the statement of profit or loss and other comprehensive income (SPLOCI) for the year ended 31 March 2025. The draft SPLOCI is in Appendix 3.

The directors of Lucasta are considering what level of dividend the company could pay. They have asked you to calculate the distributable profits of Lucasta as at 31 March 2025. Additional information relating to distributable profits is provided in Appendix 4.

The directors of Lucasta are considering an issue of convertible bonds in the future. The finance director knows that the issue of convertible bonds could lead to a dilution in earnings per share (EPS). She would like you to advise, making reference to the convertible bonds, on the calculation of diluted earnings per share and to calculate a forecast diluted EPS for the year ended 31 March 2026. Further information is provided in Appendix 5.

Questions:

20. Advise on the appropriate accounting treatment for the property detailed in Appendix 1 for the year ended 31 March 2025 and prepare, showing all workings, any journal entries necessary.

(11 marks)

21. Advise on the appropriate accounting treatment for the financial assets in Appendix 2 for the year ended 31 March 2025 and prepare, showing all workings, any journal entries necessary.

(15 marks)

22. Construct the final statement of profit or loss and other comprehensive income of for the year ended 31 March 2025 using the information in Appendix 3 and taking account of any adjustments from Questions 20 and 21.

    This question must be answered in the Excel spreadsheet provided.

(6 marks)

23. Calculate, showing all workings, the distributable profits at 31 March 2025 using the information in Appendices 1, 2 and 4 and the SPLOCI you prepared in Question 22.

(4 marks)

24. Using the information in Appendix 5:
    a) advise on the calculation of diluted earnings per share; and
    b) calculate the forecast diluted earnings per share for the year ended 31 March 2026.

(8 marks)

Total (45 marks)

Notes:

All journal entries should be presented in £'000

Ignore the taxation impact of any adjustments.

SECTION 1: Question 5 APPENDIX 1

Information regarding the property

At 1 October 2024, immediately before it was rented out, the head office property had a carrying amount of £1,800,000. The fair value of the property at that date was £3,200,000. The property had not previously been revalued.

Depreciation for items of property, plant and equipment is automatically calculated each month and included under general and administrative expenses. As no change of use was recorded during the year, the property has continued to be depreciated since the transfer with £90,000 of depreciation charged for the period 1 October 2024 to 31 March 2025.

The policy of Lucasta is to measure investment properties at fair value. The fair value of the head office at 31 March 2025 was £3,450,000. Lucasta presents any gains or losses on remeasurement of investment properties in other investment income.

SECTION 1: Question 5 APPENDIX 2

Information regarding the financial assets

No accounting entries have been made in the year ended 31 March 2025 for the following assets.

Financial asset - shares in Coinnal

Lucasta acquired 250,000 25p ordinary shares in Coinnal plc (Coinnal) several years ago for £3 per share. No election was made to account for the shares at fair value through other comprehensive income when the shares were acquired. At 31 March 2024 the shares were measured at their fair value of £975,000. The shares had an estimated fair value of £4.20 each at 31 March 2025.

Financial asset - loan

On 1 April 2023 Lucasta invested in loan stock with a nominal value of £7,400,000 with the intention of collecting the contractual cash flows before selling the investment to meet its funding requirements. The loan stock has a nominal interest rate of 4%, payable on 31 March each year, and an effective interest rate of 5.6%. At 31 March 2024 the balance of the loan stock measured using the amortised cost method was £7,518,400 and the fair value of the loan stock was £7,600,000. At 31 March 2025, the fair value of the loan stock was £7,745,000. The interest received on 31 March 2025 has been credited to a suspense account. None of the loan stock was sold in the year ended 31 March 2025.

Presentation of gains and losses

Lucasta presents income and gains in respect of financial assets recognised in profit or loss in interest income and expenses and losses in interest expenses.

SECTION 1: Question 5 APPENDIX 3

Draft SPLOCI

Lucasta plc

Statement of profit or loss and other comprehensive income for the year ended 31 March 2025

	Draft
	£'000
Revenue	19,500
Cost of sales	(12,360)
Gross profit	**7,140**
Selling expenses	(1,780)
General and administrative expenses	(2,100)
Operating profit	**3,260**
Other investing income	45
Profit before financing and income taxes	**3,305**
Interest income	120
Interest expenses	(390)
Profit before income taxes	**3,035**
Income tax expense	(650)
Profit for the year	**2,385**
Other comprehensive income	
Income and expenses that will not be reclassified to profit or loss:	
Remeasurement of defined benefit pension plan	510
Income and expenses that will be reclassified to profit or loss when specific conditions are met:	
Exchange differences on translation of foreign operations	34
Other comprehensive income for the year	**544**
Total comprehensive income for the year	**2,929**

Information about distributable profits

- At 31 March 2024, Lucasta had distributable profits of £24,250,000.
- Lucasta paid a dividend of £1,870,000 in October 2024.
- The fair value of the shares in Coinnal, see Appendix 2, was estimated using a valuation model as there is no active market for the shares.

SECTION 1: Question 5 APPENDIX 5

Earnings per share

- Lucasta plans to issue 10,000,000 £1 5% convertible bonds 2035 during 2026. Every four bonds will be convertible into one ordinary 50p share in Lucasta.
- You should assume the convertible bonds will have an annual interest expense of £500,000.
- Lucasta pays corporation tax at 25%.
- Forecast basic EPS for the year ended 31 March 2026 should be assumed to be 24.0p per share based on forecast earnings of £2,976,000 and 12,400,000 50p shares.

SECTION 2

SECTION 2 Question 1 – Dallas

Dallas Group plc (Dallas) is a UK-based company that holds investments in several other entities, including Columbus Ltd (Columbus) and Nashville Ltd (Nashville). You are preparing the group financial statements for the year ended 31 October 2024 in accordance with IFRS Accounting Standards. The main business activity of the group does not include investing in assets or providing finance.

Your assistant has been unable to finalise the accounting for a contract for the right to use equipment which was entered into by Dallas during the year. Relevant information is in Appendix 1.

You need to prepare consolidation journal entries and construct extracts from the consolidated statement of financial position. Information relevant to the investments in Columbus and Nashville and transactions between the group entities is in Appendix 2. Extracts from the draft statements of financial position of Dallas, Columbus and Nashville as at 31 October 2024 are included in Appendix 3.

The directors of Dallas are considering acquiring the convertible bonds of another group company, Oregon Ltd ('Oregon') in November 2024. Relevant information is included in Appendix 4.

Questions:

25. In respect of the contract in Appendix 1:
    a) analyse whether the contract is a lease or not; and
    b) prepare, showing all workings, any journal entries necessary to account for the contract in Dallas's separate financial statements for the year ended 31 October 2024.

(10 marks)

26. Prepare, showing all workings, the consolidation journal entries necessary for Dallas for the year ended 31 October 2024 using the information in Appendix 2. You should include the Final Step adjustment.

(23 marks)

27. Construct the non-current asset and equity sections of the consolidated statement of financial position of Dallas as at 31 October 2024 using the information in Appendix 3 and taking account of any adjustments from Questions 25 and 26.

    This question must be answered in the Excel spreadsheet provided.

(6 marks)

28. Advise on the accounting treatment of the proposed purchase of convertible bonds of for Oregon in Dallas's group financial statements in the financial years ending 31 October 2025 and 2026.

(7 marks)

(46 marks)

Note:

All journal entries should be presented in £'000.

Ignore the taxation impact of any adjustments.

SECTION 2: Question 1 APPENDIX 1

Contract for the right to use equipment

On 31 October 2024, Dallas entered into a contract which granted it the right to use equipment for a period of five years. The total term under the contract is five years, however Dallas may terminate the contract after four years without incurring a penalty. Dallas has determined that the useful life of the equipment is five years and is therefore not planning to take advantage of the early termination option. There is no option to extend the term.

Dallas has exclusive use of the equipment over the term of the contract and has complete discretion over the use of the equipment, other than that the contact requires Dallas to have a maintenance check carried out on an annual basis. The equipment cannot be substituted other than during short term periods or maintenance or repair.

Dallas is to pay £44,000 half-yearly in arrears, commencing on 31 October 2024. The interest rate implicit in the arrangement is 5% per half-year. Annuity factors are as follows:

- Eight periods = 6.4632
- Ten periods = 7.7217

On 31 October 2024, Dallas incurred and paid professional fees of £10,000 relating to the contract. These have been recorded as general and administrative expenses. On the same date, Dallas received a payment of £25,000 from the owner of the equipment as an incentive to enter into the contract which has been recorded as revenue.

No other entries have been made.

SECTION 2: Question 1 Appendix 2

Information relevant to the group financial statements

Columbus

- Dallas acquired 70% of Columbus's 1 million £1 ordinary shares on 1 November 2022 for a cash consideration of £2,500,000 when Columbus's retained earnings were £3,050,000. Dallas also transferred assets with a carrying amount of £420,000 and a fair value of £500,000. There were no fair value adjustments required at the date of acquisition. Dallas measures non-controlling interests at its share of net assets at the date of acquisition.
- Columbus's retained earnings have increased by £170,000 between acquisition and 1 October 2023.
- The draft statements of profit or loss for the year ended 31 October 2024 show a profit for the year of £750,000 for Columbus.

Nashville

- Dallas acquired 30% of Nashville's £1.00 ordinary shares on 1 June 2023 for a consideration of £1,600,000 when Nashville's retained earnings were £4,560,000. There were no fair value adjustments required at the date of acquisition.
- On 31 October 2024, Nashville revalued its properties for the first time and recorded a revaluation surplus of £437,000.
- The draft statements of profit or loss for the year ended 31 October 2024 show a loss for the year of £140,000 for Nashville.
- Nashville paid a dividend of £540,000 on 1 May 2024.

SECTION 2: Question 1 Appendix 3

Extracts from the draft statements of financial position as at 31 October 2024

	Dallas £'000	Columbus £'000	Nashville £'000
ASSETS			
Non-current assets			
Investment in Columbus	3,000		
Investment in Nashville	1,600	-	-
Equity			
Share capital	5,500	1,000	1,200
Revaluation surplus	910	-	437
Retained earnings	13,115	3,970	5,180

SECTION 2 Question 1: Appendix 4

Convertible bonds of Oregon

Dallas holds 15% of the ordinary shares in Oregon at 31 October 2024. Dallas does not participate in the financial or operating decisions of Oregon.

At 31 October 2024, Oregon total share capital is 1,000k £1 ordinary shares.

Oregon is planning on issuing 500,000 £1 4% convertible bonds in early 2025. Dallas's board of directors are considering whether it should purchase all 500,000 of the bonds.

Each £1.00 bond would be convertible into one £1.00 ordinary share of Oregon. The bonds would be convertible on 31 March 2026 at the option of Dallas. All existing and potential shares would carry equal voting rights. No contractual arrangement exists giving another entity the ability to direct the relevant activities.

If it were to convert the bond to ordinary shares on 31 March 2026, Dallas would also appoint three directors to the board of Oregon, taking the total number of directors to five. The directors take all financial and operating decisions of Oregon.

The group finance director has asked you to advise the board of how the purchase of bonds would affect the accounting for Oregon in Dallas's group financial statements in the financial years ending 31 October 2025 and 2026.

SECTION 2: Question 2 – Blink

Blink Nashville plc (Blink) is a UK-based company with a number of subsidiaries. During the year ended 31 August 2024, Blink acquired shares in two other companies. Blink prepares financial statements in accordance with IFRS Accounting Standards. The main business activities of the Blink group do not include investment in assets or providing finance.

Blink operates a share-based payment scheme for its directors. You need to finalise the accounting for this using the information in Appendix 1.

Details of the new investments in Gila Ltd (Gila) and Span plc (Span) are in Appendices 2 and Appendix 3 respectively and you need to prepare the relevant consolidation journal entries.

The managing director of Blink has queried why details of the transactions with Gila have been disclosed in the consolidated financial statements in prior years. She is keen for these disclosures to cease now Gila is part of the group. She has asked you to 'do what you can' to minimise the amount of information that must be disclosed. She has reminded you that the role of finance director will soon be vacant and that she has influence over who is appointed to the role.

Questions:

29. Advise, showing all workings, on the accounting for the share-based payment scheme in Appendix 1 for the year ended 31 August 2024.

(8 marks)

30. Prepare, showing all workings, the consolidation journal entries for the investment in Gila for the year ended 31 August 2024.

    You are not required to prepare a journal entry for the Final Step.

(12 marks)

31. Prepare, showing all workings, the consolidation journal entries for the investment in Span for the year ended 31 August 2024.

    You are not required to prepare a journal entry for the Final Step.

(15 marks)

32. Advise of any disclosure required relating to Gila:

    a) in the nine-month period before the investment was made; and

    b) in period after the investment was made.

(6 marks)

33. Explain, with reference to the ICAS fundamental ethical principles, of any ethical issues that arise for you as a result of the managing director's comments and the recommend an appropriate course of action.

(6 marks)

(47 marks)

Note:

All journal entries should be presented in £'000.

Ignore the taxation impact of any adjustments.

SECTION 2: Question 2 Appendix 1

Share-based payment scheme

Blick operates a share-appreciation rights management incentive scheme for its directors. Under the terms of this scheme, each of the eight directors of Blink at 1 September 2022 would be granted 100,000 share appreciation rights provided they remained in their role until 31 August 2025.

At the date of grant, the share appreciation rights were estimated to have a fair value of £0.62 each. It was expected that five directors would remain in their roles.

At 31 August 2023, the share appreciation rights had an estimated fair value of £0.86 each. One director had left their role and it was expected that a further two would leave before the vesting date.

At 31 August 2024, the share appreciation rights had an estimated fair value of £0.76 each. Another three directors had left their role and it was expected that a further one would leave before the vesting date.

Your assistant has calculated the amount of the liability in respect of share appreciation rights to be 4 directors (after accounting for those who have left) × 100,000 SARs each × £0.62 fair value at grant date = £248,000. They have not yet accounted for this amount as they are unsure of whether their calculation is correct.

SECTION 2: Question 2 Appendix 2

Investment in Gila

On 1 June 2024, Blink acquired 60,000 of the 200,000 ordinary £1 shares of Gila for a cash consideration of £360,000. Blink has significant influence over Gila and has correctly classified it as an associate. The investment was recorded correctly in Blink's individual financial statements.

The reserves of Gila were as follows:

	Retained earnings	Revaluation surplus
	£'000	£'000
At 1 June 2024	1,040	-
At 31 August 2024	960	370

One of the directors of Blink has a controlling interest in Gila.

Gila made sales to the Blink group of £20,000 per month until 31 May 2024 and

£80,000 per month from 1 June 2024 to 31 August 2024. Gila earned a margin of 20% to goods sold before 31 May 2024 and a margin of 40% to goods sold after 1 June 2024. At 31 August 2024, Blink had goods purchased from Gila at a cost of £50,000 remaining in inventories. All amounts due are settled immediately and therefore there are no amounts outstanding at any point.

Gila paid a dividend of £0.15 per share on 31 August 2024.

SECTION 2: Question 2 Appendix 3

Investment in Span

At 31 August 2023, Blink held 5,000 £1 shares in Span which had been purchased several years ago. This investment represented 10% of the equity shares of Span and is measured as fair value through profit or loss. The shares were correctly accounted for at their total fair value of £17,000 at 31 August 2023.

On 1 March 2024, Blink purchased a further 35,000 Span shares. Retained earnings of Span was £108,000 on 1 March 2024. Blink paid £70,000 on the date of purchase and will pay a further £70,000 after two years. The cash paid has been recorded as an investment in the financial statements of Blink but no further entry has been made in respect of the purchase. The relevant cost of capital is 8%.

The fair value of one Span ordinary share was:

	£
At 1 March 2024	3.62
At 31 August 2024	3.78

No amendments have been made for the changes in fair value since 31 August 2023 in Blink's individual accounts.

Span has earned a profit of £40,0000 since the date of acquisition and did not pay a dividend in the year ended 31 August 2024. There were no transactions between Span and the Blink group.

SECTION 2 Question 3 – Baffin

Baffin Arctic Ltd (Baffin) is a UK-based group that prepares its consolidated financial statements in accordance with IFRS Accounting Standards. Baffin acquired two subsidiaries during the year ended 30 April 2025: Mullion Polar Ltd (Mullion), based in England, and Regen Eis (Regen) based in Germany. The main business activities of the group do not include investing in assets or providing finance.

The assistant accountant has calculated that a gain on bargain purchase was made on the acquisition of Mullion but acknowledges that they encountered some problems and has asked for your help in understanding their mistakes and preparing any required journal entries. Information relating to Mullion is included in Appendix 1.

The assistant accountant has not yet accounted for the investment in Regen but has gathered the relevant information, including exchange rates, which is provided in Appendix 2.

Draft statements of profit or loss for each company for the current year are provided in Appendix 3.

Earnings per share calculations for inclusion in the consolidated financial statements have still to be prepared. Relevant information is in Appendix 4.

Questions:

34. Using the information in Appendix 1:
    a) advise of any errors made by the assistant accountant in the calculation of the bargain purchase of Mullion
    b) prepare a revised goodwill calculation; and
    c) prepare any journal entries necessary to include Mullion in the consolidated statement of profit or loss for the year ended 30 April 2025.

    You do not need to prepare a journal entry for the goodwill calculated in part b).

    (13 marks)

35. Prepare, showing all workings the consolidation journal entries necessary for Regen for the year ended 30 April 2025 using the information in Appendix 2.

    You are not required to prepare the 'final step' transfer.

    (14 marks)

36. Construct the consolidated statement of profit or loss of Baffin for the year ended 30 April 2025 using the information in Appendix 3 and taking account of any adjustments from Questions 34 and 35.

    This question must be answers in the Excel spreadsheet provided.

    (6 marks)

37. Using the information in Appendix 4:
    a) calculate the basic earnings per share for the year ended 30 April 2025; and
    b) advise how the convertible debt referred to in Appendix 4 would be reflected in earnings per share calculations. Calculations are not required.

    (11 marks)

Total: (44 marks)

SECTION 2: Question 3 Appendix 1

Details of Baffin's investment in Mullion

Baffin acquired 80% of the ordinary share capital of Mullion on 1 November 2024 for cash consideration of £6,000,000. Baffin incurred professional fees of £100,000 relating to the acquisition. Baffin will also transfer further cash consideration of

£2,300,000 on 31 October 2027. The appropriate discount rate is 6%.

Baffin measures non-controlling interest at its fair value at the date of acquisition. Baffin has determined that the fair value of non-controlling interests at 1 November 2024 was £1,845,000.

Mullion's financial statements at its year ended 30 April 2024 showed the following:

	£'000
4,000,000 ordinary shares of £1.00 each	4,000
Retained earnings	4,603
	8,603

Mullion's profit accrues evenly across the year.

There has been no impairment of the goodwill in Mullion and no transactions have occurred between Mullion and any members of the Baffin group. The carrying amount of Mullion's assets were equal to their fair value at the date of acquisition.

You have reviewed the work of the assistant accountant who has calculated a bargain purchase as follows:

	£'000	**£'000**
Cost, net of professional fees		5,900
Non-controlling interest (20% of net assets)		1,721
Less: fair value of net assets acquired		
Share capital	4,000	
Retained earnings	4,603	
		(8,603)
Gain on bargain purchase		(982)

SECTION 2: Question 3 Appendix 2

Details of Baffin's investment in Regen, intragroup transactions and exchange rates

Investment in Regen

Baffin acquired 100% of the ordinary share capital of Regen on 1 May 2024 for

£6,458,000. Regen's share capital and retained earnings at that date were as follows:

	€000
10,000,000 ordinary shares of €0.50 each	5,000
Retained earnings	2,937
	7,937

There were no fair value adjustments required. There has been no impairment of goodwill since the date of acquisition.

Regen's profits accrue evenly across the year.

Intragroup transaction with Regen

On 1 February 2025, Baffin provided a short-term loan of £1,000,000 to Regen. The loan and associated interest payments are denominated in pounds sterling. Interest of £10,000 was accrued in the period to 30 April 2025. No interest payments have been made.

Relevant exchange rates

Date	**£ : €**
1 May 2024	1:1.40
Average for the year to 30 April 2025	1:1.30
30 April 2025	1:1.25

SECTION 2: Question 3 Appendix 3

Draft statements of profit or loss for the year ended 30 April 2025

Baffin Group

Draft statements of profit or loss For the year ended 30 April 2025

	Baffin	**Mullion**	**Regen**
	£'000	**£'000**	**€'000**
Revenue	56,595	11,319	9,720
Cost of sales	(41,620)	(7,924)	(6,804)
Gross profit	14,975	3,395	2,916
Operating expenses	(5,926)	(1,232)	(1,058)
Operating profit	9,049	2,163	1,858
Interest income	197	-	-
Profit before financing and income taxes			
Interest expenses	(446)	(755)	(425)
Profit before income taxes	8,800	1,408	1,433
Income tax expense	(2,640)	(500)	(502)
Profit for the year	6,160	908	931

€ = *Euro*

SECTION 2: Question 3 Appendix 4

information relating to earnings per share

Information relating to basic EPS

- Baffin had 40,000,000 ordinary shares in issue at 1 May 2024.
- Baffin paid ordinary dividends of £4,000,000 and a preference dividend of £65,000 during the year to 30 April 2025.
- On 1 August 2024 Baffin issued an additional 5,600,000 shares in a rights issue. The issue price was £6.00 per share. The market price of one ordinary share immediately before the rights issue was £8.00.

Information relating to preference shares

- The preference shares are neither redeemable nor convertible, and any preference dividend paid is at the discretion of the directors.

Information relating to plan to issue convertible debt

- Baffin plans to issue convertible debt on 1 August 2025. The convertible debt will pay a fixed rate of interest and every £100 of debt will be convertible into 100 shares on 1 August 2027. You have mentioned to the directors that this will impact on the EPS calculations in the year ended 30 April 2026, but they do not understand why the issue of convertible debt would be relevant to EPS and have asked to you to advise.

SECTION 2 Question 4 – Sestina

Sestina plc (Sestina) is a UK-based group that prepares consolidated financial statements in accordance with IFRS Accounting Standards. The main business activities of the group do not include investing in assets of providing finance.

Sestina decided to reduce the size of its group during the year ended 31 October 2024 and undertook the following transactions:

- On 30 April 2024, Sestina disposed of some of the shares it held in Nectus Ltd (Nectus) but maintained a controlling shareholding. Information relating to Nectus is in Appendix 1.
- Sestina disposed of its entire shareholding of Walt Ltd (Walt) on 30 September 2024. Walt had been a subsidiary of Sestina for a number of years. Information relating to Walt is in Appendix 2.

As well as preparing the consolidation journal entries for the matters above, the group financial controller has asked that you advise how the disposal of Walt should be treated in the consolidated statement of profit or loss. Walt was the only company within the group to operate in Asia and was a material part of the group.

Questions:

38. Prepare, showing all workings, the consolidation journal entries necessary for Nectus for the year ended 31 October 2024 using the information in Appendix 1.

    You are not required to prepare the Final Step adjustment.

    (10 marks)

39. Prepare, showing all workings, the consolidation journal entries necessary to for Walt for the year ended 31 October 2024 using the information in Appendix 2.

    You are not required to prepare the Final Step adjustment.

    (14 marks)

40. Advise, showing all workings, how the disposal of Walt should be presented in the consolidated statement of profit or loss for the year ended 31 October 2024.

    (7 marks)

41. Advise, with supporting calculations, how the disposal of Walt should be:
    a) presented in the consolidated statement cash flows for the year ended 31 October 2024; and
    b) disclosed in the note to the consolidated statement of cash flows.

    (6 marks)

Total: (37 marks)

SECTION 2: Question 4 Appendix 1

Information relating to Nectus

Sestina acquired the entire share capital of Nectus on 1 August 2019 for £468,000. Nectus had 80,000 £1 ordinary shares in issue at 1 August 2019 and 'Retained earnings' of £263,000 on that date. Goodwill of £125,000 was correctly calculated at acquisition.

In October 2022, recognised goodwill was estimated to be impaired by 60%. There was no other impairment of goodwill.

Nectus made a profit of £66,000 for the year ended 31 October 2024. The profits accrued evenly throughout the year and therefore £33,000 profit was earned by 30 April 2024. A dividend of £16,000 was paid on 1 November 2023. 'Retained earnings' at 31 October 2024 were £377,000.

On 30 April 2024, Sestina sold 25% of the shares it held in Nectus for £100,000. The proceeds were recorded in the 'Disposal suspense account'.

SECTION 2: Question 4 Appendix 2

Information relating to Walt

Sestina acquired 80% of the ordinary share capital of Walt in 2019 for £1,875,000 when Walt had issued ordinary share capital of 100,000 shares of £1 each, share premium of £250,000 and retained earnings of £1,500,000.

Goodwill has not been impaired.

Walt made a profit for the 11 months to 30 September 2024 of £424,000. No dividend was paid during the period. The retained earnings of Walt at 31 October 2023 were £1,789,000.

Sestina sold all of its shares in Walt for cash of £2,246,000 on 30 September 2024. The proceeds were credited to the 'Disposal suspense account'. Walt's net assets at the date of disposal were £2,563,000, which included a bank balance of £158,000.

SECTION 2: Question 5 – Ovek

Ovek

You are the financial controller of Ovek plc (Ovek), a listed company, and you have responsibility for the preparation of Ovek's consolidated financial statements. Ovek prepares its financial statements in accordance with IFRS Accounting Standards.

Today you are finalising the consolidated financial statements for the year ended 30 June 2025. The draft statements of profit or loss and other comprehensive income for Ovek, its only subsidiary, Cluss Ltd (Cluss), and its joint venture, Sperre Ltd (Sperre), are in Appendix 1.

Cluss, which is Ovek's first subsidiary, was acquired on 31 January 2025. Your assistant has recorded the investment in Ovek's individual financial statements. You need to review the entry made and advise your assistant of the reasons for any changes necessary. Information concerning the acquisition is in Appendix 2.

You also have to prepare any necessary consolidation journal entries for Cluss and Sperre. Relevant information concerning Cluss and Sperre is in Appendix 3.

The chief executive of Ovek, who is a Chartered Accountant, is concerned about the potential reaction of Ovek's shareholders to the acquisition of Cluss and has sent you an email stating: 'I am concerned our shareholders might think we have overpaid for Cluss. Particularly when they see the amount we paid for goodwill — a very dubious asset in my opinion. I instruct that the goodwill should be based only on the cash consideration we paid. All the other bits are only accounting entries, and I am sure you can find an excuse for not recording these. Treat this as a directive.'

QUESTONS:

42. Using the information in Appendix 2:

    Advise your assistant of the reasons for any changes necessary to the recording of the investment in Cluss at the date of acquisition.

    You should provide supporting calculations and journal entries as required.

    (10 marks)

43. Prepare, showing all workings, consolidation journal entries relating to the Ovek group for the year ended 30 June 2025. You should use the information in Appendix 3 and take any adjustments in respect of Question 5 into account.

    You are <u>not</u> required to prepare the 'Final step' adjustment.

    (14 marks)

44. Construct the Ovek consolidated statement of profit or loss and other comprehensive income for the year ended 30 June 2025.

    (6 marks)

45. Advise on the disclosure requirements for Sperre in the consolidated financial statements of Ovek, in accordance with IFRS 12 Disclosure of Interests in Other Entities.

    (4 marks)

46. Advise, with reference to the ICAS fundamental ethical principles, of any ethical issues that may arise for you as the financial controller as a result of the email from the chief executive.

    Recommend any actions that you should take.

(7 marks)

(41 marks)

Notes:

Ignore the tax effect of any adjustments

All journal entries should be presented in £'000

SECTION 2 Question 5: APPENDIX 1

Draft statements of statement of profit or loss and other comprehensive income for the year ended 30 June 2025

	Ovek	*Cluss*	*Sperre*
	£'000	*£'000*	*£'000*
Revenue	17,350	13,500	4,440
Cost of sales	(11,350)	(7,880)	(1,760)
Gross profit	**6,000**	**5,620**	**2,680**
Operating expenses	(1,950)	(1,665)	(656)
Operating Profit	**4,050**	**3,955**	**2,024**
Interest income	730	-	10
Profit before financing and income taxes	**4,780**	**3,955**	**2,034**
Interest expenses	(330)	(295)	(44)
Profit before income taxes	**4,450**	**3,660**	**1,990**
Income tax expense	(810)	(1,100)	(630)
Profit for the period	**3,640**	**2,560**	**1,360**
Other comprehensive income			
Items that will not be reclassified to profit or loss:			
Gains on property revaluation	780	-	2,100
Total comprehensive income for the year	4,420	2,560	3,460

SECTION 2 Question 5: APPENDIX 2

Information concerning the acquisition of Cluss

Ovek acquired 75% of the 1 million 50p ordinary shares of Cluss on 31 January 2025. Ovek paid £7,320,000 in cash on that date. Your assistant has recorded the cash paid as an 'Investment in subsidiary' in the individual financial statements of Ovek. No other entries have been made regarding the acquisition.

The following information relates to the acquisition:

- As part of the acquisition agreement, Ovek will pay an additional £1,400,000 in cash for the shares in Cluss on 1 February 2028. Ovek can borrow at 4.5% per annum
- The acquisition agreement requires Ovek to pay an additional amount in cash on 1 February 2027 if Cluss's profits increase by more than 15% per annum to that date. Ovek's directors believe this is likely to happen and that the fair value of the amount payable is £600,000 as at the date of acquisition

SECTION 2 Question 5: APPENDIX 3

Information about Cluss and Sperre

Cluss

- At 31 January 2025, the retained earnings and revaluation surplus of Cluss were £3,400,000 and £2,780,000 respectively. Cluss had 1 million 50p ordinary shares in issue at that date
- The fair value of Cluss's net assets was equal to their carrying amounts at the date of acquisition
- Goodwill in Cluss is not impaired as at 30 June 2025
- Ovek measures non-controlling interests (NCI) at fair value at the date of acquisition. The fair value of the NCI in Cluss at 31 January 2025 was estimated to be £2,100,000
- The profit of Cluss for the year ended 30 June 2024 arose evenly throughout the year

Sperre

- Ovek is one of five joint venturers sharing control of Sperre. Each venturer has an equal stake in Sperre
- Ovek made its investment in Sperre several years ago and no bargain purchase arose. The retained earnings of Sperre at the date of acquisition were £460,000
- At 30 June 2025, the retained earnings of Sperre were £5,300,000
- Sperre revalued its properties for the first time on 30 June 2025 and a revaluation surplus of £2,100,000 arose
- Sperre paid a dividend of £700,000 in March 2025, and Ovek included its £140,000 share as finance income

SECTION 3

SECTION 3 Question 1: Lanercost

Lanercost Ltd (Lanercost) is a UK-based company that owns and operates several ferries providing transport for passengers, vehicles and cargo between mainland and island ports in northern Scotland. Lanercost prepares financial statements in accordance with IFRS Accounting Standards and prepares sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards.

You are assisting the finance director in preparing the financial statements for the year ended 31 December 2024. The finance director has also asked you to prepare notes regarding IFRS S2 *Climate-Related Disclosures*.

One ferry owned by Lanercost – the MV Belsay – does not meet the new pollution standards that have recently been announced, and which will come into force in five years. Lanercost's finance director has determined that there are two options available to the company:

- Sell the ferry to another operator, based abroad, immediately.
- Use the ferry for the next five years and then scrap it.

Information about the MV Belsay is in Appendix 1.

Lanercost's directors are concerned that, as new regulations are introduced, more of the company's ferries may become unusable, resulting in a potential decrease in revenue and a significant increase in operating costs.

Questions:

47. Advise on the accounting treatment of the MV Belsay in Appendix 1 for the year ended 31 December 2024, including any required disclosures.

(8 marks)

48. Advise on the effects of the recent and possible future changes in regulations on pollution in terms of climate-related risks and opportunities and advise on the disclosure required in accordance with IFRS S2 Climate-Related Disclosures.

(6 marks)

49. Explain the importance of consistency between information in Lanercost's financial statements and its sustainability-related financial disclosures.

(5 marks)

(Total: 19 marks)

SECTION 3 Question 1: Appendix 1

Information about MV Belsay

	£'000
Carrying amount as at 31 December 2024	820
Value in use as at 31 December 2024	670
Estimated fair value less costs to sell as at 31 December 2024	640

Note: The MV Belsay is a cash generating unit for financial reporting purposes.

SECTION 3 Question 2 - Finchdale

Finchdale plc (Finchdale) is a large sportswear retailer operating shops throughout the UK. The company is currently expanding by opening new shops.

Finchdale employs managers and staff in its shops and generally has good employee relations. The company has a mix of full-time and part-time, permanent and temporary staff. Finchdale's employee turnover is relatively high, which is normal in the retail industry. To replace employees who leave, and to resource new outlets, the company frequently recruits new managers and staff and promotes existing experienced staff into management roles.

Finchdale prepares a sustainability report in accordance with GRI Standards and prepares sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards.

Rebecca has recently been appointed as finance director at Finchdale. She is reviewing the draft sustainability report for the year ended 31 December 2024. Rebecca has experience in using IFRS Sustainability Disclosure Standards from her previous job, but is not experienced in using GRI Standards and she has questioned the relevance to investors of some of the information in Finchdale's draft disclosures.

Appendix 1 contains extracts from GRI 401 *Employment*.

Appendix 2 shows extracts from Finchdale's draft sustainability report in relation to employment

Questions:

50. Advise on the differences between the information prepared in accordance with IFRS Sustainability Disclosure Standards and by GRI Standards. You answer should refer to:

    - different approaches to materiality
    - users of the information.

(6 marks)

51. Evaluate whether Finchdale's disclosures in Appendix 2 comply with the requirements of GRI 401 *Employment* in Appendix 1.

(5 marks)

52. Recommend, with justifications, TWO improvements that Finchdale could make to its draft disclosures in Appendix 2.

(4 marks)

(Total: 15 marks)

SECTION 3 Question 2 Appendix 1

Extracts from GRI 401 *Employment*.

Disclosure 401-1 New employee hires and employee turnover

The reporting organization shall report the following information:

a. Total number and rate of new employee hires during the reporting period, by age group, gender and region.
b. Total number and rate of employee turnover during the reporting period, by age group, gender and region.

SECTION 3 Question 2 Appendix 2

Extract from Finchdale's draft sustainability report.

New employee hires and employee turnover

In 2024 our total headcount increased by 2% which reflects our business expansion programme which saw an increase in the number of retail outlets. Overall, the number of new employees recruited in 2024 increased by 5% compared with 2023.

Employee turnover increased by 3% which reflects a significantly more competitive job market and an overall shortage of skilled staff. This is also increasing cost pressures on wage rates.

The turnover rate is significantly higher among younger staff reflecting the nature of job changes and career progression for younger people and the number of our staff who are seeking short-term employment. There is some regional variation in employee turnover reflecting differences in local job markets and the existence and attractiveness of alternative employment possibilities.

Total number of employees at 1 January	8,120	100%
Number of employees leaving	822	10%
Number of new appointments	985	12%
Total number of employees at 31 December	8,283	102%

New appointments by gender	
Men	53%
Women	44%
Other/ did not disclose	3%
Total	100%

New appointments by age	
Under 30	66%
30 and under 50	23%
50 and over	11%
Total	100%

Employee turnover rate by age	
Under 30	12%
30 and under 50	4%
50 and over	4%
Average	10%

SECTION 3: Question 3 - Hylton

Hylton Ltd (Hylton) is a UK-based supplier of catering services. The company prepares sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards.

Hylton has made a number of claims in its sustainability-related financial disclosures in relation to the environmental and social sustainability credentials of many of the food and drinks items sold in its venues and machines.

Hylton's new finance director, Alex, is an ICAS Chartered Accountant. Alex is concerned that the sustainability disclosures are not adequately supported by reliable data and do not appear to be in accordance with the relevant Sustainability Accounting Standards Board (SASB) standard

Examples of disclosures by Hylton are in Appendix 1. A summary of Alex's concerns are in Appendix 2.

Questions:

53. Assess whether Hylton could be engaged in greenwashing if it continues to prepare sustainability disclosures in the way it currently does.

(7 marks)

54. Evaluate how Hylton could use SASB standards in its sustainability reporting and recommend improvements to Hylton's disclosures.

(7 marks)

(Total: 14 marks)

SECTION 3 Question 3 Appendix 1

Example disclosure by Hylton

182 of our ingredients have an independent sustainability certification. For example, organic ingredients are certified by the Soil Association. We are actively working towards increasing this number.

We are gradually reducing the number of food miles by prioritising ingredients and products from local growers and suppliers.

SECTION 3 Question 3 Appendix 2

Summary of Alex's concerns

Hylton does not refer to SASB standards in its disclosures.

Alex has examined the metrics relating to certification in the SASB standard applying to restaurant operators and thinks that Hylton's disclosures are inconsistent with these metrics.

In relation to sustainability of ingredients, the SASB standard identifies the following metrics:

- Percentage of food by cost that meets environmental and social sourcing standards
- Percentage of food by cost that is certified to third-party environmental or social standards
- Discussion of strategy to manage environmental and social risks within the supply chain, including animal welfare

Many of the certifications which Hylton relies on appear to be from relatively unknown organisations or focus on only a narrow set of metrics to the detriment of other considerations. Hylton often pays the supplier to obtain a certification.

Alex realises that whilst much of the information in the disclosures is likely to be true, there is only limited evidence to support them. Furthermore, Hylton changes the key performance indicators in the sustainability disclosures from time to time to allow it to focus on areas of success.

Hylton's operations manager, Lee, is responsible for overseeing food miles calculations. Members of Lee's team have expressed their concerns that the figures are unrealistic because they are based on only a small percentage of actual ingredients and products used and Lee changes the basis of the calculations regularly.

SECTION 3: Question 4 - Brinkburn

Brinkburn Ltd (Brinkburn) is a UK-based electrical engineering company that design and develops electrical and electronic products and also provides system installation, maintenance, and repair services for its products. Brinkburn prepares financial statements in accordance with IFRS Accounting Standards.

The company's stated objective is 'to deliver excellent products and services to our clients and maximise returns for our investors'. However, Brinkburn's directors are facing increasing scrutiny from clients about sustainability management. Accordingly, the board of directors have agreed the following approach:

- The company will produce an annual sustainability report, in accordance with GRI Standards, which details its approach to sustainability management and key performance indicators relating to sustainability.
- The company will appoint a board level director with experience in and specific responsibility for sustainability.
- Performance criteria for the directors are based exclusively on financial criteria, and the key criterion is earnings per share. The board will examine whether it is practical to use sustainability criteria as part of the evaluation of directors' performance, but the company currently has no sustainability-related objectives.

As part of the preparation of the first annual sustainability report, the directors have determined that they will need to identify stakeholders, consider the priorities and influence of different stakeholders and identify and analyse material sustainability- related issues. The directors wish to evaluate whether a materiality matrix would be helpful in engaging with stakeholders and in identifying and analysing material issues.

Appendix 1 shows information about earnings per share calculations.

Questions:

55. Advise whether producing a sustainability report in accordance with GRI Standards will meet the information requirements of clients.

(4 marks)

56. Calculate basic and diluted earnings per share for the year ended 31 December 2024.

(4 marks)

57. Advise how the appointment of a new director and the introduction of new performance criteria will affect the governance of sustainability issues in Brinkburn.

(6 marks)

58. Advise how using a materiality matrix could help the directors in engaging with stakeholders and in identifying and analysing material sustainability- related issues.

(5 marks)

(Total: 19 marks)

SECTION 3: Question 4 Appendix 1

Earnings per share calculations

	£ 000
Profit for the year ended 31 December 2024	18,550
Share capital as at 31 December 2024 (£1 ordinary shares)	10,000

Brinkburn paid a dividend totalling £1,000,000 to its ordinary share holders and

£2,500,000 to its preference shareholders during the year ended 31 December 2024. The preference shares are classified as equity.

Brinkburn has in issue 600,000 options for ordinary shares, all of which are outstanding at the end of the period. The options can be exercised for £2.20 per share and the fair value of the shares at 31 December 2026 is £3.00 per share. The company expects all of these options to be exercised on or before their expiry date of 31 December 2026.

SECTION 3: Question 5 - Lion

LionRoar Cars plc (Lion) is a car manufacturing company that prepares an annual integrated report. The board of Lion has made a strategic decision to include sustainability-related financial disclosures prepared in accordance with IFRS Sustainability Disclosure Standards in its 2025 annual report whilst continuing to prepare a separate integrated report.

You are the reporting accountant at Lion, and you assist in the preparation of the annual and integrated reports. You have received an email from the finance director, who is a CA, who would like to understand whether information included in the integrated report would also meet the requirements of the IFRS Sustainability Disclosure Standards. An extract from her email is provided in Appendix 1.

The finance director has specifically asked you to review draft wording for the integrated report around greenhouse gas emissions to determine if it meets the requirements of IFRS S2 *Climate-related Disclosures*. The draft wording has been provided in Appendix 2 and an extract from IFRS S2 has been provided in Appendix 3.

QUESTIONS:

59. Advise on:
    - the purpose of integrated reporting; and
    - how an integrated report incorporates sustainability matters.

(4 marks)

60. Advise, with reference to the ICAS Code of Ethics, of any ethical issues that arise from the finance director's email provided in Appendix 1. You do not need to provide any actions.

(4 marks)

61. Advise whether the draft disclosure in Appendix 2 meets the requirements of the IFRS S2 *Climate-related Disclosures* extract in Appendix 3. You should refer to:
    - quantitative and qualitative climate-related targets;
    - any climate-related targets Lion is required to meet by law or regulation, including any greenhouse gas emissions targets; and
    - requirements (a) to (f)

(11 marks)

(Total: 19 marks)

SECTION 3: Question 5 APPENDIX 1

Email extract from the finance director

I've been thinking about all the effort needed to prepare an integrated report and would like to avoid spending any more time or money on gathering the information needed to prepare disclosures in accordance with the IFRS Sustainability Disclosure Standards. I doubt anyone really reads this information anyway; everyone knows the bottom line profit is what people are interested in. We have a limited budget for staff costs and spending more on the resources needed to prepare additional information would mean a smaller bonus for you and for me, which I'm sure neither of us wants. I don't have time to read the IFRS Sustainability Disclosure Standards, but I'm sure we can find a way to report the same information and still look compliant. I know I can trust you to be sensible in our approach to this. Don't let me down.

SECTION 3: Question 5 APPENDIX 2

Draft extract from the integrated report

Our Commitment to Addressing Climate Change

As part of our sustainability strategy, we have set clear targets to reduce greenhouse gas (GHG) emissions and align our business with a low-carbon economy. These targets reflect our commitment to improving operational efficiency and contributing to global climate action. Below, we provide details of our primary target, how we measure progress, and the frameworks that inform our approach.

Our Primary Target

We aim to achieve the following GHG emissions reduction target:

- **Strategic Target:** A 30% absolute reduction in Scope 1 and 2 carbon dioxide equivalent (CO2e) emissions by 2030, compared to a 2020 baseline, as we work towards a lower-carbon future.

How We Measure Progress

We use the following metric to track progress:

- **Carbon Intensity Metric:** CO2e emissions per unit of production. Using a per unit of production metric allows us to measure operational efficiency improvements as production levels change.

Scope of the Target

Our target covers Scope 1 (direct emissions) and Scope 2 (indirect emissions from purchased electricity) greenhouse gas emissions from our manufacturing operations globally.

Timeframes

The target is set to be achieved over the following period:

- **Strategic Target:** 2024–2030

Annual reviews will be conducted to evaluate progress and determine whether adjustments are required.

SECTION 3: Question 5 APPENDIX 3

IFRS S2 extract

33 An entity shall disclose the quantitative and qualitative climate-related targets it has set to monitor progress towards achieving its strategic goals, and any targets it is required to meet by law or regulation, including any greenhouse gas emissions targets. For each target, the entity shall disclose:

a) the metric used to set the target;
b) the objective of the target;
c) the part of the entity to which the target applies;
d) the period over which the target applies;
e) the base period from which progress is measured;
f) any milestones or interim targets.